

Kotak Mahindra Bank Ltd (KOTAKBANK)

Sector: Financials

ROE

14.0%

ROCE

7.1%

D/E

4.00x

OPM

83.7%

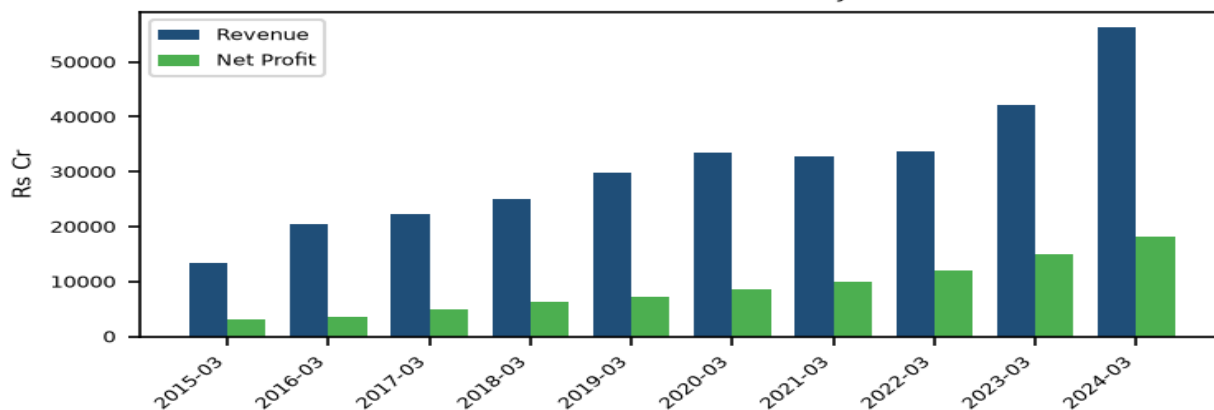
Revenue CAGR 5yr

13.5%

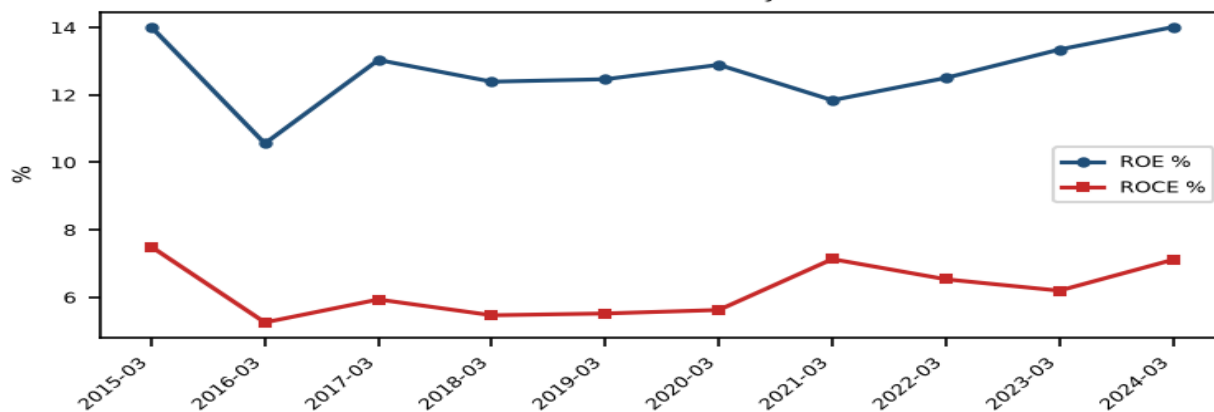
Free Cash Flow

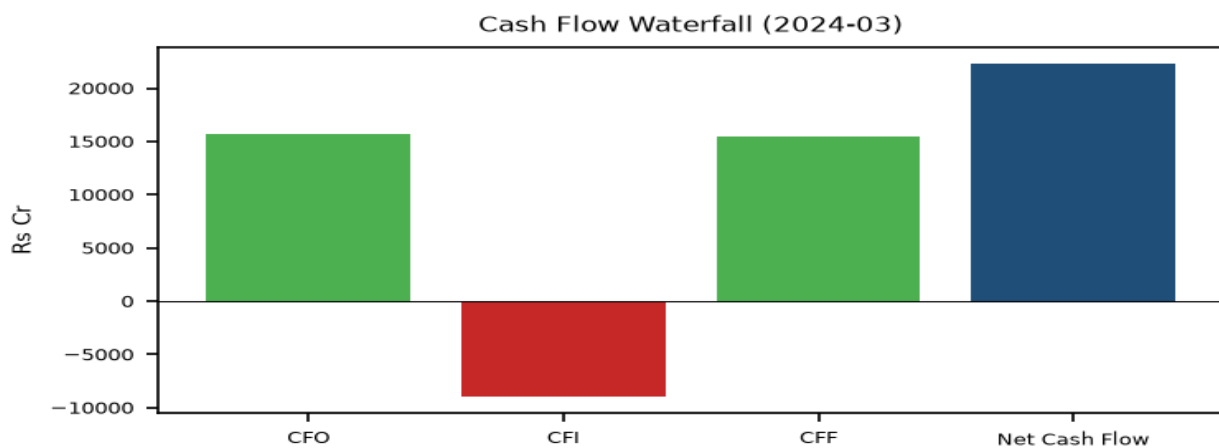
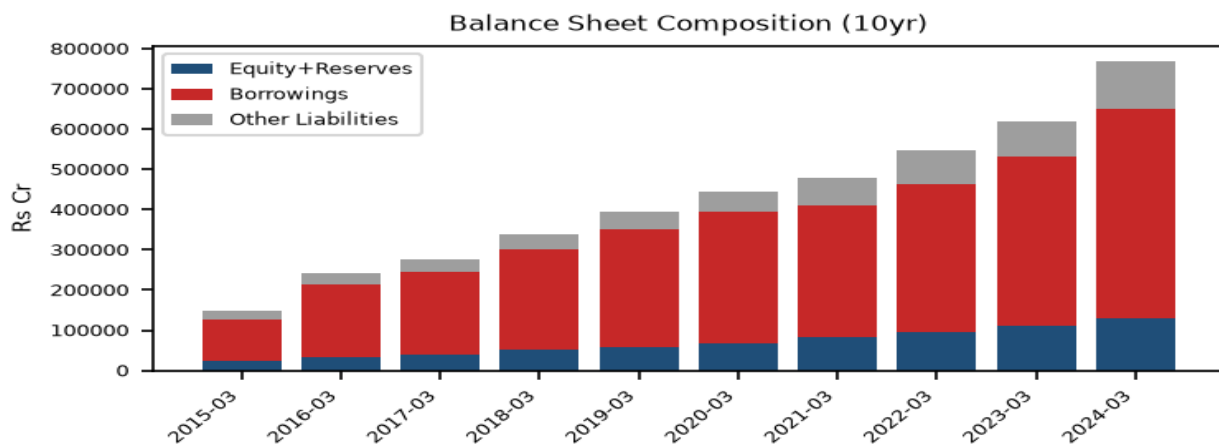
Rs 6,766 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Mixed